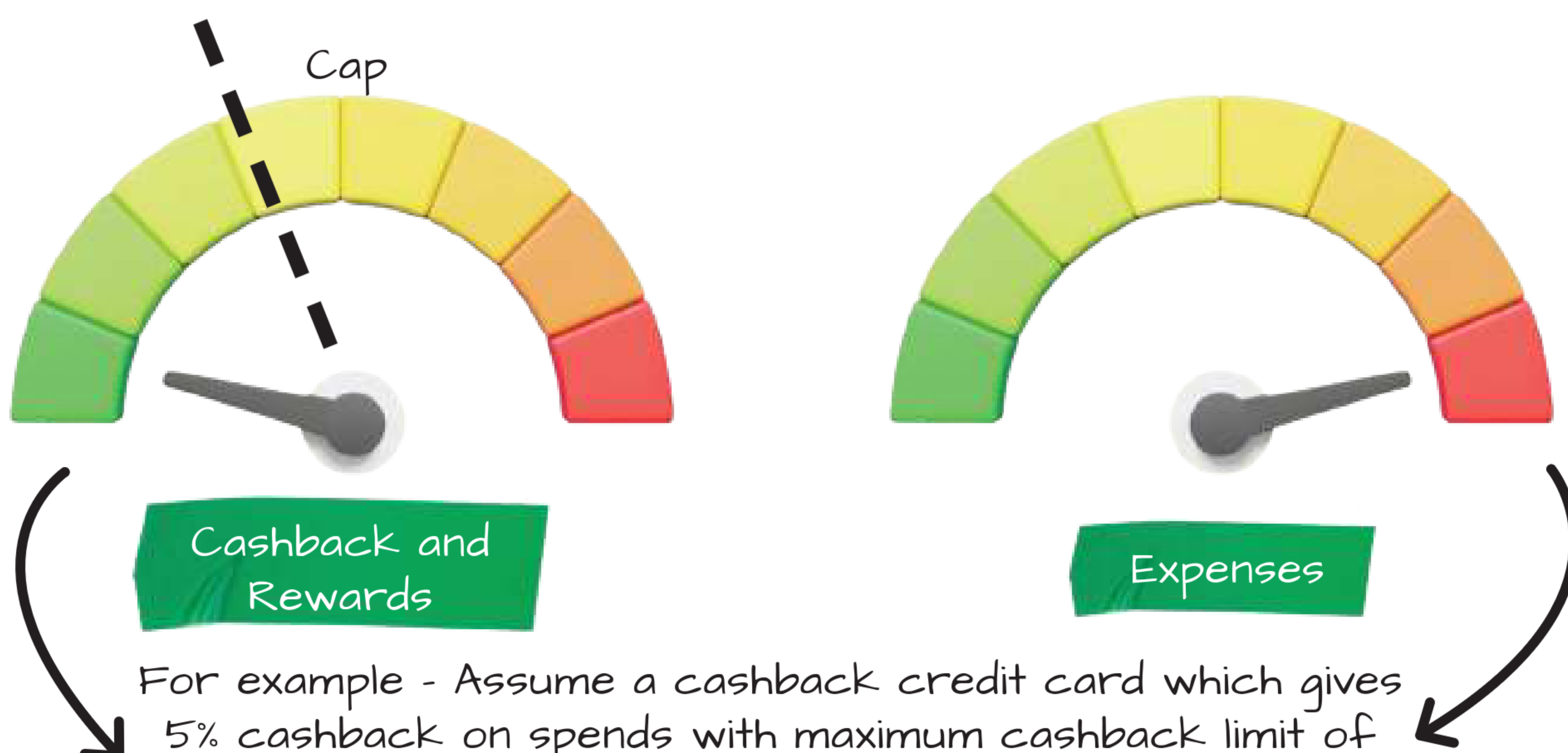


4. Spending Levels

Certain Cards have limits beyond which the benefits are not the same.



For example - Assume a cashback credit card which gives 5% cashback on spends with maximum cashback limit of ₹2000/ month. Here then if you are spending around ₹50,000 per month it makes sense. But, if you are spending significantly more then your benefits get capped.

However, for certain paid cards you'd need a higher spending level for the benefit to outweigh the costs. For example, if a card has ₹ 5000 as annual fees then you need to evaluate how many months it will take for you to collect enough points/ earn cashback so that the monetary benefit to you from the card is more than ₹ 5000 and there is some benefit of using the card.

Annual Fee < Cashback/ Rewards

₹ 5,000 < ₹ 10,000

Net gain of ₹ 5,000

